

2025

Liquidity Facilities Provided to Banks during the Dominican Republic Financial Crisis of 2003

Marco Porfirio Martínez

Financial Stability Subdirector, CBDR

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Banking and Finance Law Commons](#), [Economic History Commons](#), [Finance Commons](#), [Finance and Financial Management Commons](#), [Law and Economics Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), and the [Public Administration Commons](#)

Recommended Citation

Porfirio Martínez, Marco (2025) "Liquidity Facilities Provided to Banks during the Dominican Republic Financial Crisis of 2003," *Journal of Financial Crises*: Vol. 7 : Iss. 1, 683-689.

DOI: <https://doi.org/10.17132/2693-3179.1636>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/26>

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

Liquidity Facilities Provided to Banks during the Dominican Republic Financial Crisis of 2003¹

*Marco Porfirio Martínez*²

April 15, 2025

Abstract

As part of an agreement with the International Monetary Fund (IMF), the Central Bank of the Dominican Republic (CBDR) released a comprehensive document providing an overview of the origins and handling of the 2003 financial crisis. This Archive Note builds on the highlights of that document by discussing primary factors that led to problems within Banco Intercontinental (Baninter), the bank that triggered the crisis; detailing measures the CBDR implemented to mitigate the situation; and addressing the consequences for two other major banks, Banco Mercantil and Bancrédito.

Keywords: Baninter, CBDR, Dominican Republic

¹ This archive note is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project case studies considering ad hoc emergency liquidity programs. The cases are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1>.

² Technical Coordinator, Financial Stability Subdirector, CBDR.

ARCHIVE NOTE

Overview

Starting in mid-2002, Banco Intercontinental (Baninter), the third-largest bank by asset size in the Dominican Republic at the time, faced a liquidity shortage owing to significant deposit withdrawals related to ongoing administrative mismanagement and fraudulent practices. The bank sought assistance from the Central Bank of the Dominican Republic (CBDR), which began providing liquidity in September 2002 through ad hoc liquidity advances and discount window loans (Guzmán et al. 2005; World Bank 2004).

Despite liquidity provision from the authorities, Baninter's shortages persisted because of severe accounting errors that induced the CBDR to undertake "successive extensions" of its facilities (Guzmán et al. 2005, 28). In mid-January 2003, the CBDR discovered irregularities in the registration of the assistance the bank received: Baninter management had recorded the official liquidity assistance as deposits, thus severely underrepresenting to the public the decline in deposits (Guzmán et al. 2005).

In March 2003, the Monetary Board³ arranged for a much smaller private bank, Banco Dominicano del Progreso (Progreso), to acquire 90% of the shares of Baninter and take control of its operations. However, the due diligence process revealed that Baninter was engaged in parallel accounting to hide illegal activities, which were deliberately omitted from the bank's official books. Baninter kept a separate set of books to record payments for personal expenses of top executives and shareholders, financing of businesses connected to related parties, donations, and other fraudulent disbursements. By hiding these expenses while understating its deposit obligations, Baninter effectively evaded regulatory reserve requirements (CBDR 2003b; Guzmán et al. 2005).

The bank's unreported assets and liabilities in its parallel accounting system had doubled as a result of the continuation of these bad practices over the course of a decade. Baninter's reported assets amounted to 26 billion Dominican pesos (DOP; USD 1.1 billion).⁴ The parallel accounting showed additional assets worth DOP 55 billion, which was more than two-thirds of the Dominican Republic's national budget at the time. The combined size of the bank, approximately DOP 81 billion, made Baninter the largest bank in the country. Given these revelations of widespread accounting fraud and the guarantees that Progreso demanded against the potential liabilities, merger negotiations broke down within a month (Guzmán et al. 2005).

On April 8, 2003, the CBDR announced the takeover of Baninter due to the bank's failure to comply with the liquidity regularization and shareholder recapitalization plans proposed by the Monetary Board following the failed merger with Progreso. The CBDR emphasized in its statement that it would ensure the public's deposits remained secure and that the bank's operations would continue under the supervision of an administrative commission. It was

³ The Monetary Board is the highest monetary authority responsible for determining monetary, exchange rate, and financial policies. This body is made up of the governor of the Central Bank, the minister of finance, and the superintendent of banks, in addition to six members appointed by the Executive Branch (CBDR n.d.).

⁴ Per the CBDR, USD 1 = DOP 22.7 in March 2003.

ARCHIVE NOTE

not until May that the CBDR revealed to the general public the situation of Baninter and initiated legal proceedings against the bank's main executives (CBDR 2003b; World Bank 2004).

The CBDR provided a substantial financial package totaling DOP 79.4 billion during the liquidation process, which included liquidity facilities, depositor payments, and the acquisition of loan portfolios. About 70% of the deposits were paid in cash, while the remainder was paid with securities issued by the CBDR to sterilize the remainder and prevent further inflationary pressures. Additionally, Baninter's certificates of deposit were exchanged for investment certificates issued by the CBDR, with maturities ranging from 90 days to three years and at an interest rate of 14%. These investment certificates accumulated a total value of DOP 29 billion (Guzmán et al. 2005; World Bank 2004).

Despite the CBDR's attempts to contain Baninter's liquidity issues, the contagion spread to two medium-sized banks, Bancrédito and Banco Mercantil, that had also been facing "management deficiencies" (IMF 2003, 1). Bancrédito held assets and contingencies equivalent to 14.6% of the total market, while Mercantil held 6.2%. At the time, the CBDR had adopted a restrictive monetary stance to stabilize the foreign exchange market and moderate inflationary pressures. New measures included increasing the reserve requirement on new deposits from 10% to 15% for noncommercial bank financial entities and a plan to reduce the legal reserve ratio for commercial banks from 20% to 17%, although this idea was eventually abandoned, and the earlier 20% ratio was maintained. These stricter reserve requirements, along with continued deposit withdrawals and further reports of fraud, exacerbated the liquidity shortages in the market. As a result, Bancrédito and Mercantil resorted to using the facilities that had been made available to Baninter (CBDR 2003c; Guzmán et al. 2005).

Bancrédito's resolution involved the transfer of assets and liabilities to Banco Profesional, another private banking institution, with assistance from the CBDR. This assistance amounted to approximately DOP 23.2 billion, primarily consisting of the acquisition of loans from related parties and other assets owned by Bancrédito's owner (Guzmán et al. 2005).

Similarly, Mercantil's resolution involved the transfer of assets and liabilities to Republic Bank of Trinidad and Tobago (RBTT), another commercial bank, facilitated by the CBDR in November 2003. As part of the negotiation for the transfer, RBTT committed to recapitalizing Mercantil and the CBDR agreed to providing for potential losses arising from impaired assets amounting to DOP 6.5 billion. In addition, the CBDR managed several assets of Mercantil, including commercial loans, promissory notes, and letters of guarantee, with a total value of DOP 4 billion. However, a report published by the Financial Department of the CBDR at the time cautioned that only DOP 1 billion (approximately 17% of the total) would be recovered through emergency assistance programs and that even that figure was deemed to be optimistic (Guzmán et al. 2005).

As predicted, the overall disbursement associated with the measures provided by the CBDR to Baninter, Bancrédito, and Mercantil amounted to more than DOP 100 billion, which equaled approximately 20–25% of the Dominican Republic's GDP in 2003. This figure

ARCHIVE NOTE

included payments to depositors, the acquisition of loan portfolios and other assets, and the liquidity facilities provided to the three banks. The majority (73%) of resources were allocated to Baninter. In response to the significant costs incurred during the crisis, Congress passed a law outlining a plan to recapitalize the CBDR. The package of measures involved the issuance of bonds by the state and the direct transfer of funds and contributions from the state to the CBDR (DR 2007; Guzmán et al. 2005).

Liquidity Facilities

The CBDR, as lender of last resort, structured the facilities to provide liquidity to commercial banks that were experiencing a decline in deposits and unable to meet their resource demands in the interbank market. To access this facility, banks were required to undergo an evaluation conducted by CBDR officials. This evaluation was based on the latest consolidated balance sheets of all entities related to the bank. Recipient banks also had to meet the domestic solvency requirement, which mandated a capital adequacy ratio of at least 10% of risk-weighted assets. Additionally, they were expected to maintain the solvency condition throughout the duration of the facility. Furthermore, banks were prohibited from expanding their loan portfolios and participating in currency-related treasury operations related to the currency market. Finally, facility use required authorization from the CBDR's Open Market Committee (Guzmán et al. 2005).

The amount of liquidity advances and the loans provided through the discount window facilities depended on the bank's capital and total deposits. Initially capped at 1% of total deposits per bank, the CBDR temporarily raised the limit for these facilities as market conditions worsened. In September 2002, when the CBDR's liquidity assistance to Baninter began, the limit of the facilities increased to 3%. In October, the CBDR temporarily increased the limit to 5% in accordance with the resolution requirements; it then provisioned for a final limit increase of up to 8% in December 2002 (Guzmán et al. 2005).

Initially, the overall assistance received by a bank from the CBDR could not exceed 30% of its capital. This limit aimed to objectively restrict the commitment of public resources to the inefficient management of private banks. However, in October 2002, the CBDR increased the limit so that it could grant liquidity facilities up to 60% of an institution's paid-in capital and reserves (and up to 100%, if necessary). In November 2003, the government increased the upper limit again such that the CBDR could lend up to 1.5 times the Tier 1 capital if necessary. The amount of aid given to Baninter reached nearly four times the bank's capital and reserves at the end of 2002, well in excess of the legal limit of 1.5 times the bank's capital and reserves (Guzmán et al. 2005).

The rates for accessing these facilities, particularly loans from the discount window, were calculated based on the current average loan rate in the market, adding a penalty charge. Specifically, these rates were equivalent to the weighted average of the active interest rates of multiple banks plus a margin of 3 percentage points. Moreover, banks had the option to renew the loans up to three times, with each renewal incurring an additional 2 percentage

ARCHIVE NOTE

points to the rate. However, once this limit was reached, banks were unable to reuse the facility for the following six months (CBDR 2003a; Guzmán et al. 2005).

Banks were required to submit collateral (in the form of promissory notes) equivalent to 125% of the required loan amount. Loans could be collateralized by the following assets: (a) central bank deposits, other than required reserves; (b) securities issued by the CBDR and the Ministry of Finance; (c) titles issued by the government, duly approved by the National Congress; and (d) loans rated A and B by the superintendent of banks, tied to a mortgage guarantee (CBDR 2003a; Guzmán et al. 2005).

Impact on Monetary Policy Transmission

The failure of these banks in the Dominican Republic during the 2003 financial crisis had a profound impact on the country's economy and led to significant imbalances and a shift in the trajectory of economic growth. The primary objective of monetary policy was to tackle the imbalances that the crisis caused. In the short term, the CBDR focused on increasing interest rates to moderate exchange rate pressures and collect the excess liquidity generated by liquidity advances and other facilities granted (IMF 2003).

However, despite the CCBDR's efforts to sterilize liquidity from the rescue operations, monetary issuance increased by 101.6% to DOP 77.5 million by the end of 2003. The overall economic slowdown and sharp depreciation of the peso contributed to inflationary pressures. Inflation reached 42.7% by the end of 2003 (CBDR 2004; IMF 2003).

In December 2003, the CBDR issued securities amounting to DOP 60 billion—placed through over-the-counter transactions, competitive auctions among institutional investors, and the exchange of Baninter deposits for CBDR investment certificates. These measures effectively demonetized approximately DOP 30 billion (CBDR 2003b; CBDR 2004).

The CBDR also adopted a measure to exclude cash on hand when computing the 20% legal reserve calculation, allowing for an increase in reserve deposits at commercial banks. This amounted to a proportional increase in reserve requirements, which resulted in 26.5% of total liabilities being subject to reserve requirements by the end of 2003. Additionally, due to the transparency of deposits and associated cleanup of banks' credit portfolios, the loan/deposit ratio fell from 97.5% at the end of 2002 to 78.7% by the end of 2003 (CBDR 2004).

The banking crisis resulted in significant pressures on the Dominican peso, high inflation, and a substantial flight of capital to foreign markets. Economic activity deteriorated as consumer spending and investment declined. However, the crisis also prompted authorities to develop a comprehensive program aimed at strengthening the financial system. This package of measures focused on implementing stringent prudential regulation and instituting risk-based supervision practices. Such structural changes were intended to strengthen the regulatory framework of the banking sector, ensuring financial stability and mitigating systemic risk (IMF 2003).

ARCHIVE NOTE

References and Key Program Documents

Legal/Regulatory Guidance.

(CBDR 2003a) Central Bank of the Dominican Republic (CBDR). 2003a. "Last Resort Lender Regulation." December 18, 2003.

Regulation explaining under what circumstances the Central Bank of the Dominican Republic will grant last resort loans (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4242>

(DR 2007) Government of the Dominican Republic (DR). 2007. Law No. 167-07 for the Recapitalization of the Central Bank of the Dominican Republic. July 13, 2007.

Law establishing legal and financial mechanisms for the recapitalization of the Central Bank of the Dominican Republic (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4247>

Press Releases/Announcements.

(IMF 2003) International Monetary Fund (IMF). 2003. "Public Information Notice: IMF Concludes 2003 Article IV Consultation with the Dominican Republic." Public Information Notice No. 03/123, October 14, 2003.

Public information notice announcing the end of the IMF executive board's Article IV consultation with the Dominican Republic.

<https://elischolar.library.yale.edu/ypfs-documents2/4249>

Reports/Assessments.

(CBDR 2003b) Central Bank of the Dominican Republic (CBDR). 2003b. "First Resolution Dated July 7, 2003, Which Revokes and Dissolves the Operations of Banco Intercontinental, SA." April 9, 2003.

Resolution issued by the Monetary Board revoking and dissolving Baninter's operations (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4241>

(CBDR 2003c) Central Bank of the Dominican Republic (CBDR). 2003c. "Report on the Dominican Economy, January–March 2003." June 2003.

Report describing the Dominican Republic economy in March 2003 (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4244>

(CBDR 2004) Central Bank of the Dominican Republic (CBDR). 2004. "Supplement - Report on the Dominican Economy, January–December 2003." March 2004.

Annexed tables of a March 2004 report describing the Dominican Republic economy as of December 2003 (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4245>

ARCHIVE NOTE

ARCHIVE NOTE

(Guzmán et al. 2005) Guzmán, Jose Florencio, Ernesto Livacic, Claudio Mauch, and Miguel A. Ortiz. 2005. "Report of the International Expert Panel: Crisis Dominican Banking, Revised Version." March 2005.

Report proposing measures to strengthen and modernize the financial system of the Dominican Republic (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4246>

(CBDR n.d.) Central Bank of the Dominican Republic (CBDR). n.d. "Monetary Board of the Central Bank of the Dominican Republic." Accessed November 2, 2023.

Webpage describing the role of the Monetary Board of the Central Bank of the Dominican Republic (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4248>

(World Bank 2004) World Bank. 2004. "Progress Report of the Country Assistance Strategy from the World Bank Group for the Dominican Republic," Memorandum to the President of the International Bank for Reconstruction and Development and the Executive Directors of the International Finance Corporation, February 3, 2004.

Report from the World Bank for the Dominican Republic addressing the deterioration in its economic performance (in Spanish).

<https://elischolar.library.yale.edu/ypfs-documents2/4250>

Copyright 2025 © Yale University. All rights reserved. To order copies of this material or to receive permission to reprint any or all of this document, please contact the Yale Program on Financial Stability at ypfs@yale.edu .
